

An Analysis of the Reasons for Haidilao's PR Failure from the Stakeholder Perspective

Recently, on March 6, 2025, a GIF of someone urinating in a hotpot restaurant surfaced online and was quickly linked to Haidilao Hotpot in China. Haidilao immediately reported it to the police. After that, on March 8, Shanghai Huangpu Police stated that two intoxicated 17-year-old males filmed and posted the video themselves. Haidilao later shared the police report, suggesting leniency, which led to a major public backlash. Although Haidilao later issued a large compensation and apology, the damage to its reputation was irreversible. As for Haidilao, which has always been known for its good reputation and excellent service, this incident is undoubtedly a PR crisis for the company. I believe there are many reasons for Haidilao's PR failure this time.

From the perspective of stakeholder, the most important reason lead to the PR failure of Hadilao is that this company misjudged their target audience for communication, or in other words, they got the priority of their communication targets wrong. Although some people think that Haidilao's relatively lenient handling of the incident involving minors urinating in the hotpot and filming the video may have had some justification. After all, the two boys were minors and in an intoxicated state. And I found that some netizens were very angry, as they believed that Haidilao did not respect consumers. However, I believe the key reason for the issue is not this and I also have some different perspectives. As far as I am concerned and according to Brad L. Rawlins (2006) referred the importance of recognizing and prioritizing stakeholders in Prioritizing Stakeholders for Public Relations. I learned that identifying and prioritizing stakeholders involves first recognizing the groups or individuals that are

stakeholders, and then assessing their priority based on their influence or significance to the organization's goals. This approach ensures that the organization's resources and efforts are directed toward the most crucial stakeholders, leading to optimal outcomes and results.

Organizations should prioritize responding to stakeholders who have urgency and significant impact on the organization. So I strongly believe that Haidilao's first response should have been directed towards the stakeholders and consumers, because those are the people who have the closest relationship with them and are most concerned about their interests. After reading the literature and analyzing the events, I also believe that Haidilao failed to quickly realize who their primary target audience for a timely response should be and did not prioritize their replies. This is a key weakness in Haidilao's handling of the public relations crisis. Haidilao failed to recognize that during a crisis, it is crucial to urgently respond to stakeholders. This led to further issues, such as customer dissatisfaction not being addressed in a timely manner, and eventually, Haidilao had to provide high compensation to customers whose interests were harmed. These consequences could have been avoided.

What's more, when companies and organizations know who to listen to first, they should also know how to listen and what attitude to have. There is no doubt that Haidilao does not do well at this point. Haidilao's marketing and public relations departments must focus on monitoring public opinion and crisis prevention. They need to understand the attitudes of their core consumers and stakeholders, rather than taking actions that are completely contrary to the attitudes of their stakeholders. Only then, from the perspective of society and the public.

Because, according to Linkage Model (Grunig and Hunt, 1984) the enabling linkage between organization and stakeholder, it is said organization should base on the level of impact

different stakeholders have on the organization, prioritizing them accordingly. And for the most critical stakeholders, the organization can allocate more resources and attention. I also believe they are very important because it does help the organization align its attitude and make decisions that are most beneficial to itself, without causing disappointment to the stakeholders who care the most about it. And James E. Grunig (1984) pointed out that The Two-Way Symmetric Model, it emphasizes two-way communication and interaction between the organization and its stakeholders, focusing on understanding and addressing the needs of both parties. The PR failure of Haidilao lies in its inability to effectively establish two-way dialogue with customers and the public, failing to listen to their feedback and concerns, and not addressing customers' emotional needs in a timely manner and this will undoubtedly cause them economic losses I have already seen some consumers saying that they will never eat at Haidilao again.. That is because the stakeholders they are who the first group of people to pay attention to the organization's movements and any actions taken by the organization will deeply affect their interests and emotions. Similarly, compared with the general public who pay less attention to the organization, stakeholders are more likely to have a counterreaction toward the organization.

Finally, I would like to point out that in this incident, the views and interests of stakeholders and the general public seem to be in conflict: from a societal perspective of protecting minors, Haidilao should forgive the intoxicated minors, but from the stakeholder perspective, these two underage boys need to be severely punished. According to Freeman et al. (2010, p. 45), they discuss how to manage stakeholder relationships, especially in situations of conflicting interests. The authors suggest that organizations should resolve conflicts between different

stakeholders by building cooperative relationships, in order to achieve long-term sustainable value creation. Therefore, Haidilao's decision to impose severe punishment and file a lawsuit against the two minors later can be seen as their recognition of the issue, which helped restore some of their reputation and image in the eyes of stakeholders.

In conclusion, Haidilao's public relations failure in this crisis can be attributed to a misalignment in recognizing and prioritizing key stakeholders, particularly its core consumers, whose interests and trust are vital to the organization's success. By misjudging the priority of their communication efforts and failing to establish effective two-way communication with stakeholders, Haidilao exacerbated the situation rather than mitigating it. A timely and appropriate response, grounded in understanding stakeholder concerns and expectations, could have lessened the damage to the brand's reputation. This case highlights the importance of stakeholder-centric communication strategies in crisis management, particularly for organizations that rely on their relationship with consumers for long-term success. Moving forward, Haidilao must reassess its approach to crisis communication to prevent future PR failures and rebuild the trust of its most loyal stakeholders.

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